

ASSESSING AN AI MARKET BUBBLE

What is a market bubble?

A market bubble happens when investors bid up the price of an asset to a point that far exceeds its intrinsic value. These bubbles can quickly deflate (or “burst”) when the market realizes the investment has appreciated far beyond its fundamentals.

-Morningstar

Why does this look like a market bubble?

There is very narrow market leadership with the Magnificent 7 making up around 35% of the S&P 500 weighting. Valuations are expensive. There has also been a high volume of passive investing which has amplified the scale of the bubble. In this bubble, there is a narrative that, “this time is different” which is a sentence that has been uttered by investors every time before there is a pop of a market bubble.

History of asset bubbles since 1977



Source: Bank of America, Bloomberg, author's calculations. Note: Gold (XAU Currency), Japanese Equities (NKY Index), Asian Equities (SET Index), Technology (NDX Index), U.S. Housing (SSHOME Index), Commodities/China (SHCOMP Index), Biotech (NBI Index). *Disruptors = equal-weighted average of NYFANG Index and DJCOM Index constituents.

-Financial Fables (Are We in an Asset Bubble Again?)

How is this bubble different?

The bubble has grown much larger than previous ones. Additionally, the bubble has not brewed in a low interest environment. Furthermore, Fed tightening interest rates has not killed it. This is partly because the link between equities and the external economy has decoupled, meaning equity markets have become too big and too self-fulfilling to be influenced by the external economy. Moreover, public and private equities are now worth 300% of the US GDP.

How could the bubble end?

The majority of companies may not know how to incorporate AI into the way they work, and some may be simply unwilling. Bloomberg believes much of AI investment is a closed circular loop between the Magnificent 7. The size of these companies means that government and external forces may not pop the bubble, rather, it would be an inside pop. For example, an accounting issue could cause investor confidence to plummet and a market crash to occur. The market has moved to a point where a recession may not cause a pop **however** a pop of the bubble **would** cause a recession.

The other element is that it is possible that the bubble does not pop and that AI has continuous material gains.

What can be done to mitigate the problems caused by a bubble pop?

From an investor standpoint an equal weighted S&P 500 index could be used, providing for more diversification and hedging your investments. Another good way to cover yourself is holding some government bonds. If massive planned capital expenditure gets cancelled or delayed, a fall in confidence and possibly a recession could be caused. This would lead to investors selling stocks and buying more government bonds, increasing their price. Society has recently moved from greed to fear on the fear and greed index so this may already be a viable strategy. On a global scale, to reduce the risk of a pop it is imperative there is a mass adoption, where companies incorporate AI more into the way they work to improve efficiency.